

Brazil on track to top US in agricultural exports from 2028

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【メール原文】

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After rapid gains in recent years, Brazilian agricultural exports are on track to surpass US exports from 2028, driven by advantages including multiple growing seasons, younger farmers, and successful export diversification.

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US agriculture is contending with structural challenges, including its dependence on cash-crop exports (particularly to China), high input costs, and low investment levels, which threaten its longer-term stability.

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Brazilian agriculture faces short-term challenges, including high credit costs, high fertilizer costs, and El Niño disruptions, while high credit costs could become a longer-term risk if the next president fails to implement a meaningful fiscal adjustment.

The US is locked into a cash-crop export model that is losing global competitiveness. Following Liberation Day, China responded with a 125% tariff against US agricultural products, causing exports to China to fall by roughly two-thirds between 2024 and 2025. The summit between presidents Donald Trump and Xi Jinping in May 2026 improved relations. Beijing committed to purchase at least \$17 billion of US agricultural products through 2028, in addition to annual soy purchases totaling 25 million tons. Even so, the policy swings have weakened the sector's profitability and increased reliance on subsidies. That dependence has discouraged investment, worsened prospects for new entrants, and slowed the adoption of new innovations. Rising land prices, meanwhile, have made it harder for farms to expand and achieve economies of scale.

Dependence on Chinese purchases remains a central vulnerability for the US. For soybeans, China still accounts for the largest share of US exports, even though shipments there have fallen to multiyear lows, because exports to other markets have also declined. With few short-term substitutes of equivalent scale, soybeans have moved to the center of US-China relations. China's soy purchases at the beginning of September were carefully timed ahead of the Trump-Xi summit on 24 September. Trump will attempt to lock in Chinese purchases to reaffirm support from farmers ahead of the midterms. Export dependencies, meanwhile, will escape any serious scrutiny or remedial action. The Farm Bill includes several provisions meant to expand export markets, but it will continue to face low odds of passage in Congress after the upcoming midterm elections.

Brazil faces short-term challenges. These include high credit costs and high fertilizer prices. Moreover, El Niño-driven weather volatility presents higher risks to Brazilian output than for US production through 2027, particularly in central and northern states. Wetter conditions in the south offer some upside, but those gains will not offset production losses closer to the equator (see: El Niño will concentrate food commodity inflation across vulnerable regions, 17 August 2026).

High credit costs could become a longer-term risk. If President Luiz Inacio Lula da Silva wins another term in office in the October election, he would likely pursue a fiscal adjustment, but if his efforts disappoint markets, credit costs could remain high. Flavio Bolsonaro would be more likely to pursue a meaningful adjustment, though his environmental policies could come under scrutiny, particularly from Europe, after Lula's success in curbing deforestation (see: Record-low Amazon deforestation under threat from El Niño, 25 June 2026). Nonetheless, key markets, including China, Southeast Asia, and the Middle East, would not move away from Brazilian products, limiting the impact of any EU-Brazil frictions.

As at least some short-term risks fade, Brazil's exports should overtake the US's from 2028. The gap between the two has narrowed sharply from \$56 billion in 2021 to \$2 billion in 2025. Brazilian farmers benefit from multiple annual growing seasons across vast arable frontiers, while a comparatively younger workforce is more adaptable to innovations in practices and technology. Measures to reshore fertilizer production and promote biologicals, underpinned by the Bioinputs Law, will slowly reduce reliance on foreign fertilizer imports (see: Brazil's fertilizer strategy, 24 June 2026). Meanwhile, foreign investment in US agriculture has been deterred by increased scrutiny over agricultural land ownership and value chains following the July 2025 National Farm Security Action Plan.

Export market diversification will provide more support for Brazilian agriculture. Brasilia is advancing trade deals that will open new agricultural markets. The EU–Mercosur and European Free Trade Association–Mercosur agreements have now been implemented, and talks with Canada, Japan, and South Korea are advancing. China is the most important export market for both Brazil and the US. Still, Brasilia's independent foreign policy and its structural advantages allow it to build broader export markets in ways that the US is unable or unwilling to match. As Beijing seeks to develop its own agricultural supply chains, particularly for livestock feed, Chinese demand will decline in the coming decades, posing acute risks for exporters like the US failing to diversify.

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